



U.S. Small Business
Administration

Boots to Business Module 2

The Right Idea?

Basics of Opportunity Recognition

Version 5.1



ASSOCIATION OF
WOMEN'S BUSINESS CENTERS



INSTITUTE FOR
VETERANS AND
MILITARY FAMILIES



MISSISSIPPI STATE
UNIVERSITY

Objectives

Describe the process and activities related to understanding the ‘business case’ for turning an idea into a sustainable business concept.

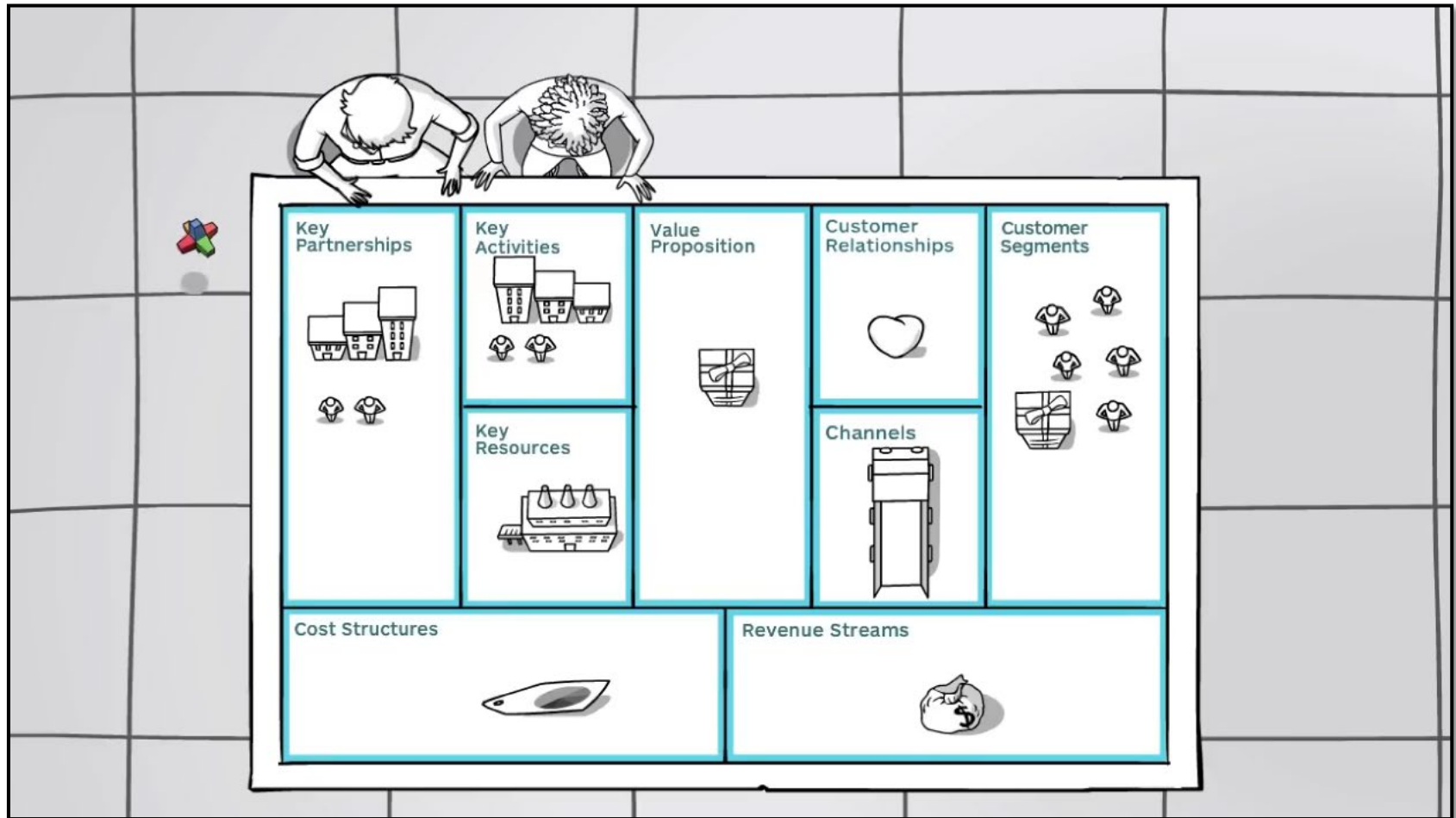
Additionally:

- Understand how to refine and refocus current ideas.

Agenda

- Introduction to the Business Model Canvas
- The Entrepreneurial Process
- Finding Opportunity
- Your Value Proposition
- From Idea to Concept

Visualizing Your Business Model



Introducing the Business Model Canvas

KEY PARTNERS Who are your key partners?	KEY ACTIVITIES What are the activities you perform every day to deliver your value proposition?	VALUE PROPOSITION What is the value you deliver to your customer? What is the customer need that your value proposition addresses?	CUSTOMER RELATIONSHIPS What relationship does each customer segment expect you to establish and maintain?	CUSTOMER SEGMENTS Who are your customers?
	KEY RESOURCES What are the resources you need to deliver your value proposition?		CHANNELS How do your customer segments want to be reached?	
COST STRUCTURE What are the important costs you make to deliver the value proposition?			REVENUE STREAMS How do customers reward you for the value you provide to them?	

Entrepreneurship

Capacity:

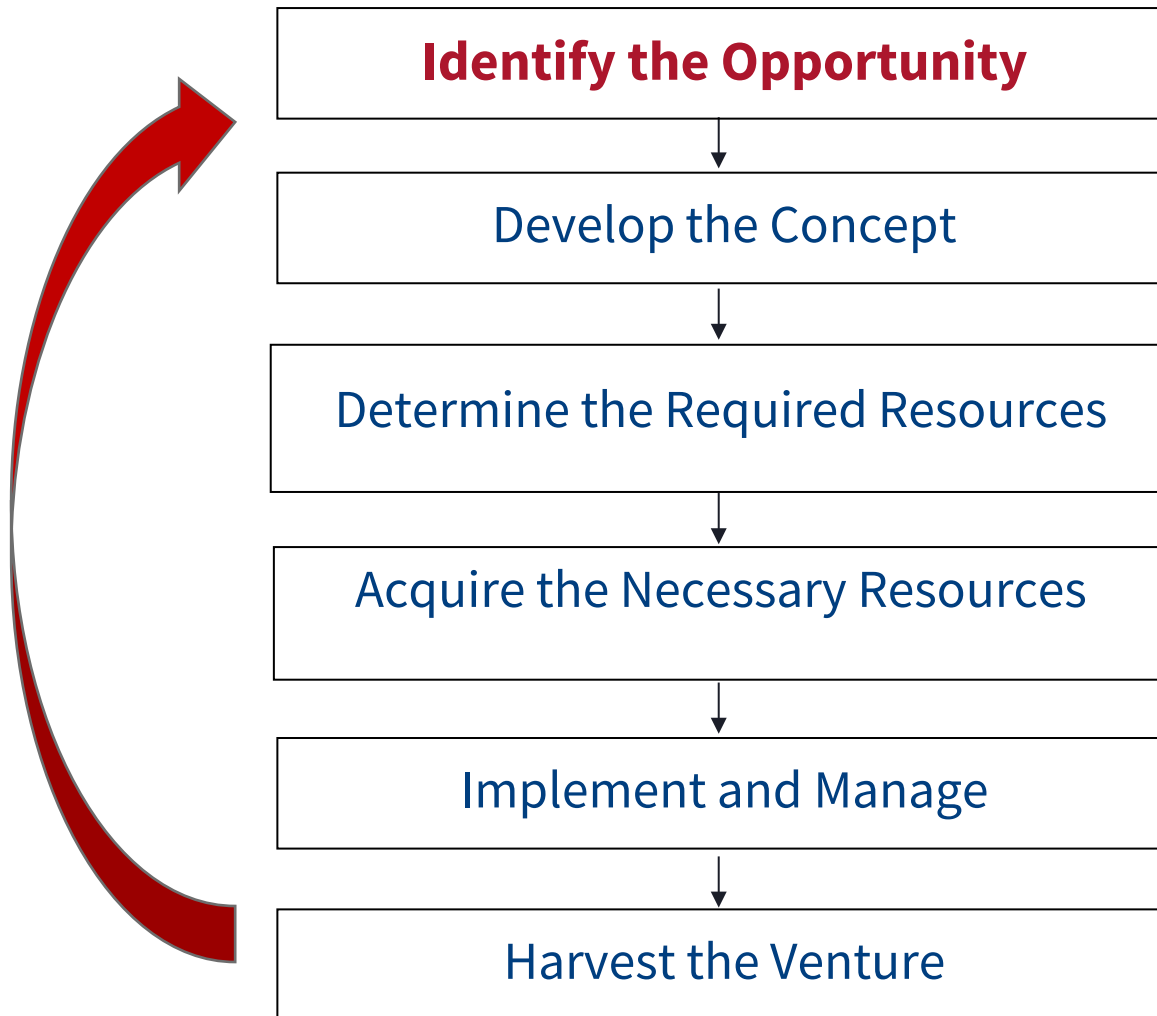
to perceive and act upon
opportunities in the
environment



Ability:

to create and build
something from
practically nothing

The Entrepreneurial Process



Developing a Value Proposition

Opportunity = Problem + Solution

- What is it?
- Where do you find it?
- How do you know you've got it right?

Solving Problems

- Aging of the population
- Working Parents
(single or dual income)
- Concerns about security
- Social networking-
people want to be
connected
- People searching for
roots and stability
- Extreme experiences
- Made In America (USA)

What is a Value Proposition?

- A value proposition is a promise by a company to a customer or market segment
- It is an easy-to-understand reason why a customer should purchase a product or service from that specific business
- A value proposition should be a clear statement that explains how a product solves a pain point

What is a Value Proposition?

Specifically, a Value Proposition describes the **benefits** customers receive from your products or services

PRODUCT
Features



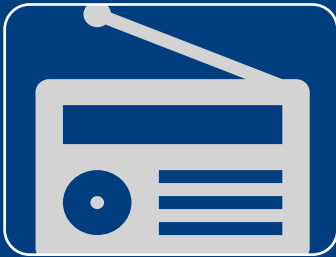
VALUE
PROPOSITION

PRODUCT
Solution/Benefits



VALUE

Features vs Benefits



Child's Toy

- Feature – “Batteries Included”
- Benefit – No disappointed kids



Realtor

- Feature – “20 Years Experience”
- Benefit – You will benefit from my knowledge of what sells in your neighborhood, how quickly, and for the best price



Website Design

- Feature – “Professional Website Design”
- Benefit - Create a positive first impression for your business to capture sales

Opportunity = Problem + Solution

Think Value Proposition



Value to the
Customer

Business Idea or Concept

- Specific value-creating method for capitalizing on the opportunity
- New product, new service or new process
- The “unique combination” that defines how much value a customer is getting—can include price, distribution, packaging, etc.

An Idea or a Business Concept

Key Criteria:

- Clear benefit and value proposition
- Profit potential (customers' willingness to pay)
- Reason to believe
- New and different enough from alternatives
- Could potentially lead to other products/services
- Barriers to entry

Key Takeaways

- Look to solve a problem or alleviate a pain.
- Can be a big problem for a small, underserved segment.
- Do something you feel strongly about.

Filling In YOUR Business Model Canvas...

KEY PARTNERS

Who are your key partners?

KEY ACTIVITIES

What are the activities you perform every day to deliver your value proposition?

VALUE PROPOSITION

What is the value you deliver to your customer? What is the customer need that your value proposition addresses?

CUSTOMER RELATIONSHIPS

What relationship does each customer segment expect you to establish and maintain?

CUSTOMER SEGMENTS

Who are your customers?

KEY RESOURCES

What are the resources you need to deliver your value proposition?

CHANNELS

How do your customer segments want to be reached?

COST STRUCTURE

What are the important costs you make to deliver the value proposition?

REVENUE STREAMS

How do customers reward you for the value you provide to them?



Fill in this section of BMC in student workbook

Questions, Discussion